

July 12, 2026 08:09 PM GMT

Hygon Information Technology Co., Ltd. | Asia Pacific

Sugon 8000 launch and investor feedback

China launched its first 100,000-card AI supercluster using Hygon's CPUs, GPUs and switch chips. We also address questions about Hygon's differentiation, valuation and the agentic AI opportunity.

Hygon's CPUs and GPUs used in China's first 100,000-card AI supercluster:

Sugon launched Sugon 8000, a 100,000-accelerator AI supercluster, in Zhengzhou last Friday. All six core chip types in the cluster were developed domestically by the Sugon/Hygon ecosystem, including the Hygon C86 CPU, Hygon DCU (GPGPU AI accelerator), HySW scale-up switch ASIC (interconnecting GPUs within the same the board), PCIe 5.0 switch chip (interconnecting CPUs and GPUs), 400/800G switch ASIC, 400G NIC ASIC. For more see [Key Takeaways from HIECO Conference](#).

We address three key investor questions following our [Hygon initiation report](#):

First, the differentiation of Hygon vs. other GPU companies. Hygon's integrated "CPU + GPU" model differentiates it from most local peers that focus primarily on GPUs, allowing Hygon to address both general-purpose server workloads and AI training/inference simultaneously. Also, its largest shareholder Sugon (27.96% shareholding) is not only a supercomputer manufacturer but a key player in China AI infrastructure, spanning chips, computing, storage, networking, cooling, applications and services. We think Hygon could leverage its largest shareholder's ecosystem and gain more share in China's CPU and GPU markets.

Second, why does Hygon deserve a high valuation like other GPU companies?

Some investors are reluctant to give a high valuation to Hygon's CPU business, as most CPUs are not restricted from import and CPU TAM growth seems slower than GPUs. We argue that China's server CPU TAM growth, including agentic AI demand, will be higher at a 31% CAGR ([Exhibit 2](#)) than AI GPU TAM growth at 23% ([Exhibit 4](#)). Also, the CPU localization drive is coming from policy and procurement mandates, and supply-chain security. Therefore, we don't think Hygon's CPU business should be valued at lower multiples than other GPU companies

Third, how should we think about Hygon's positioning in the agentic AI era?

As AI systems evolve toward multi-agent architectures, CPUs are increasingly responsible for workflow control and system-level coordination. We estimate China's agentic AI CPU TAM to be US\$17bn by 2030, or 21% of global demand. We expect Hygon to address 3-5% of that demand as its CPUs' presence in security-sensitive verticals like government and finance aligns well with emerging requirements for data sovereignty, compute isolation, and trusted infrastructure. We expect Hygon's next-generation CPUs to deliver higher clock speeds, stronger performance, and enhanced security to meet the demands of agentic AI.

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Greater China Technology Semiconductors | China

Stock Rating	Overweight	
Industry View	Attractive	
Price target	Rmb480.00	
Up/downside to price target (%)	36	
Shr price, close (Jul 10, 2026)	Rmb353.00	
52-Week Range	Rmb395.17-134.85	
Mkt cap, curr (mn)	Rmb820,491.3	
Avg daily trading value (mn)	Rmb7,831	

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.10	2.02	3.31	5.30
EPS (Rmb)§	1.35	1.98	3.01	4.29
Revenue, net (Rmb mn)	14,376.9	22,419.7	32,906.0	45,341.8
EBITDA (Rmb mn)	5,103.7	7,431.0	10,877.4	15,953.3
ModelWare net inc (Rmb mn)	2,544.9	4,694.7	7,702.8	12,307.6
P/E	204.6	174.8	106.5	66.7
ROE (%)	12.6	20.9	29.1	37.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Key Takeaways from HIECO Conference

Core chips in China's first homegrown 100,000 card AI supercluster are localized:

Sugon launched Sugon 8000, a 100,000-accelerator AI supercluster whose deployment was completed in June. All six types of core chip in the cluster were developed domestically by the Sugon/Hygon ecosystem, including the Hygon C86 CPU, Hygon DCU (GPGPU AI accelerator), HySW scale-up switch ASIC (interconnecting GPUs within the same the board), PCIe 5.0 switch chip (interconnecting CPUs and GPUs), 400/800G switch ASIC, 400G NIC ASIC. Sugon's scaleFabric 400 scale-out networking platform is built around the network switch and NIC ASIC, with proprietary 112G SerDes IP.

The AI supercluster enables highly efficient training and inference for massive models.

The system supports 64-bit, 32-bit, 16-bit, and 8-bit (incl. FP8 and INT8) formats, as well as mixed-precision execution, with vendor-reported benchmark results indicating competitive performance across these precision formats. ParaStor, Sugon's distributed storage platform for large-scale AI and HPC systems, ranked first on both the IO500 Production and 10 Node Production lists, with scores 2.46x and 2.72x the previous leading scores, respectively.

For training workloads, Sugon 8000 has supported customer pre-training workloads at the 10,000-accelerator scale (incl. Zhipu's LLM, iFlytek's speech models, and BAAI's world models); Sugon 8000 is also designed to scale to 100,000 accelerators for next-gen, 10-trn-parameter-class models. For inference workloads, Sugon 8000 supports inference for over 400 mainstream models and supports optimization for prefill-decode disaggregation and KV-cache management.

Various applications already run on the cluster. The core node has already completed optimization for over 300 supercomputing-AI fusion applications across more than 20 fields, including large models, robotics, automotive, pharmaceuticals, new materials, quantum computing, and weather forecasting. More than 70 of these applications have achieved 10,000-card scale expansion, validating the system's stability and reliability under massive, high-intensity scientific workloads.

The node is now open to research institutions, universities, enterprises, and individual users, offering inclusive, efficient, and convenient computing services through the national supercomputing internet.

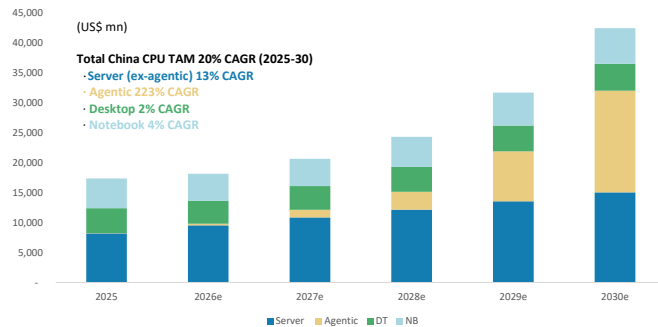
Exhibit 1: China's first homegrown 100,000-card AI supercluster goes live in Zhengzhou



Source: Company data

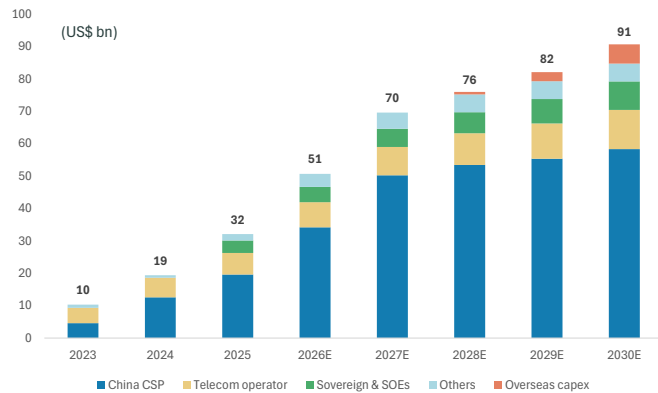
Key Charts

Exhibit 2: We expect China's CPU TAM to rise to US\$42bn in 2030, with server (incl. agentic) growth at a 31% CAGR



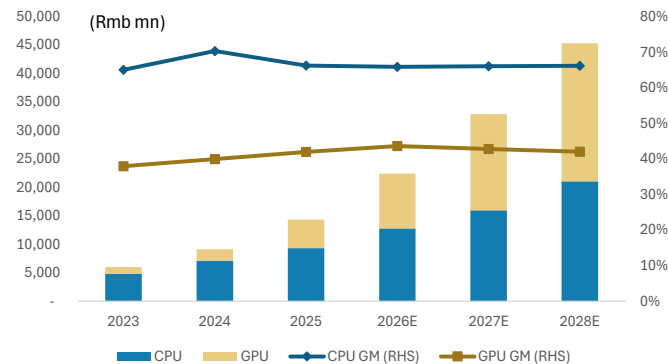
Source: Company data, Morgan Stanley Research estimates

Exhibit 4: We expect China's AI GPU TAM to grow to US\$91bn by 2030



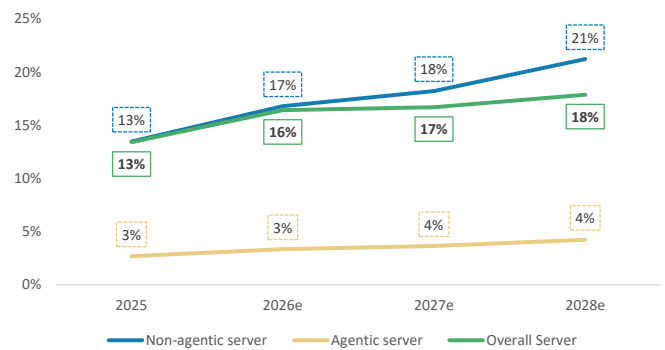
Source: Mercury, Morgan Stanley Research estimates

Exhibit 6: We expect Hygon to deliver strong sales growth and sustained gross margin



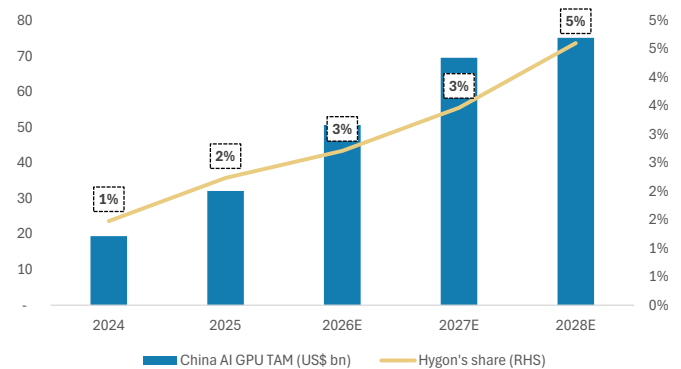
Source: Company data, Morgan Stanley Research estimates

Exhibit 3: ...with Hygon's share in China server CPUs hitting 18%



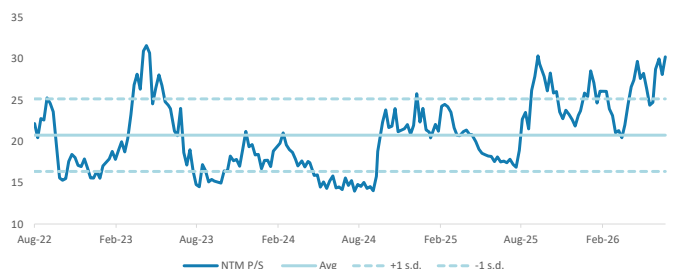
Source: Company data, Morgan Stanley Research estimates

Exhibit 5: ...with Hygon's share rising to 5% by 2028



Source: Company data, Morgan Stanley Research estimate

Exhibit 7: Hygon: NTM P/S ratio



Source: Factset, Morgan Stanley Research estimates

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Hygon Information Technology Co., Ltd. (688041.SS)

We assume an 8.0% cost of equity (beta 1.05, risk-free rate 2.0% and risk premium 5.8%), a payout ratio of 50%, a medium-term growth rate of 25.0%, and a terminal growth rate of 5.0%, all of which are in line with other China AI chip companies under our coverage.

Risks to Upside

- Hygon further differentiates itself from local CPU and GPU competitors and gains significant market share in China's CPU and GPU markets
- China AI demand is stronger than expected
- Faster ramp-up of leading node capacity

Risks to Downside

- Intensified pricing competition among local GPU companies
- China AI demand is weaker than expected
- Slower yield improvement and capacity buildout at local leading node foundries

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(as of June 30, 2026)

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Hygon Information Technology Co., Ltd. (688041.SS) - As of 07/11/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/3/26 : O/A

Price Target History: 7/3/26 : 480

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$103.00
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb434.51
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$136.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,210.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$677.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,400.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,340.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,350.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$496.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$185.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$482.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$308.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb94.69
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,925.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb909.35
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$435.50
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb801.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb103.21
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,220.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb124.25
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$523.00
SMIC (0981.HK)	O (10/21/2025)	HK\$79.65
TSMC (2330.TW)	O (02/07/2022)	NT\$2,415.00
UMC (2303.TW)	O (05/19/2026)	NT\$156.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$173.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$406.00
Daisy Dai, CFA		
ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$187.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb79.10

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb112.40
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb44.51
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb353.00
Innoscence (2577.HK)	E (10/13/2025)	HK\$52.75
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb101.11
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$31.64
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb141.78
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb123.81
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb85.83
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb30.36
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb118.67
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$922.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,480.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$13,665.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$110.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$183.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb123.77
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb612.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$143.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$350.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb268.06
Novatek (3034.TW)	U (02/04/2026)	NT\$542.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$162.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$655.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$71.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$840.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.50
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$176.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$106.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$211.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb164.00
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb587.60
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,050.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$608.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$15.23
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,660.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$7,080.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$326.35
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$7,765.00

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* Historical prices are not split adjusted.